

STOCKOUT RISK ANALYSIS

TL;DR

1. Business problem

Identify the SKUs that are in risk of stockout and their impact.

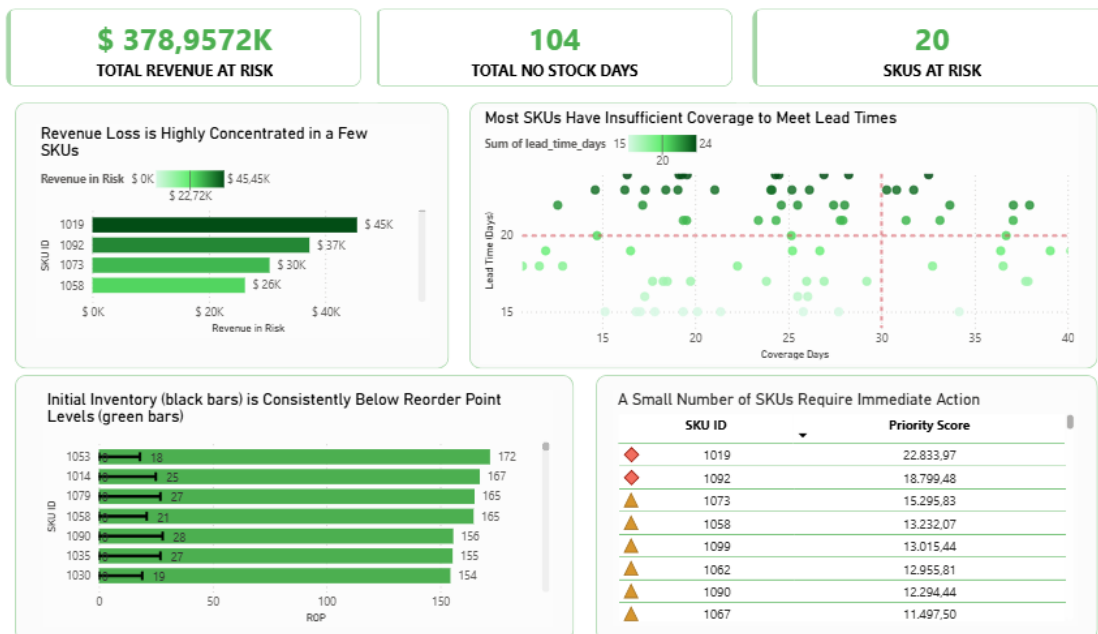
2. Key metrics

- Coverage days
- Lead time days
- Initial inventory
- Reorder point (ROP)

3. Methodology

- Data cleaning and transformation in MySQL.
- Data simulation and calculations in Python
- Data visualisation in Power Bi
- Insights reporting in Excel (and Word)

Dashboard preview (I invite you to explore it and interact with it in the Power Bi document added to my GitHub, thank you 🙏)



4. Key insights

- Understocking initial inventory; ROP is not met.
- Coverage days < Lead time
- ROP not respected (Products ordered too late)

5. Business recommendations

- Re-calculate and adjust initial inventory to be optimal.
- Respect the ROP.
- Immediate replenishment with the new initial inventory levels.
- *If possible*, re-design transportation routes to reduce lead time